London
Business
School

Mergers, MBOs & Other Corporate Reorganizations

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Introduction to the Course

Who Am I ...

- Education
  - ➢ B.A., University of Illinois at Urbana-Champaign
  - ➢ M.Sc., University de Paris I: Pantheon-Sorbonne
  - ➢ Ph.D., Stanford
- Worked as an economic advisor to US Treasury, CBO, Federal Reserve, UN and other organizations.
  - ➢ Forecasting student loan repayment and recovery
  - ➢ Response to repayment crisis
  - ➢ Was at NYU Stern + Chicago Booth before Cambridge
- Research focus: Household finance
  - ➢ Apply concepts of corporate finance to households
  - ➢ Primarily work on student loans and human capital

STUDENT LOAN BACKLASH
CONSTANTINE YANNELIS
CHICAGO BOOTH ASSOCIATE PROFESSOR OF FINANCE
NBC NEWS
NOW

The Washington Post

Democracy Dies in Darkness

The best way to forgive student debt is to focus on those who need it most

Universal debt forgiveness would help high earners more than anyone else.

By **Sylvain Catherine** and **Constantine Yannelis**

Dec. 28, 2020 at 5:00 a.m. CST

Student debt is again an urgent topic of debate in Washington. President-elect Joe Biden has proposed that Congress pass a bill canceling $10,000 in federal student debt per borrower, although many Democrats want him to be more aggressive: Some want him to cancel $50,000 in debt per borrower, through an executive order. Others would go even further: Biden “must cancel all federal student debt on Day 1 of his administration,” Rep. Ayanna Pressley (D-Mass.) has declared.

Key issues that we will discuss

Session 1

- Introduction to M&A (Merger vocabulary; M&A market and cast of characters; deal analysis: synergies, means of payment; valuation methods for M&A)

Session 2

- M&A performance and value creation: evidence; the value of control
- Case study: Roche-Genentech (The Swiss pharmaceutical company was a majority owner of US biotech firm Genentech from the early 90s. It is considering making a tender offer for the remaining part of Genentech that it doesn't own. What is the logic of this merger? What are the valuation and governance issues that arise?)

Session 3

- Setting deal terms, bidding tactics in M&A
- Case study: Buffett's Bid for Media General's Newspapers (Berkshire Hathaway wants to acquire Media General's newspaper division. Why is Buffett interested in this company which is in an industry in decline?)

Key issues that we will discuss

Session 4

- Regulatory aspects and advisory fees in M&A
- Financial distress, debt overhang, out-of-court restructuring

Session 5

- Case study: Preem (The refinery Corral/ Preem is in financial distress and must quickly restructure its debt out-of-court to avoid a liquidation of the business.)
- Guest Lecture

Session 6

- Distressed restructuring inside bankruptcy
- Case study: Latam Airlines (In 2020, Latam Airlines became the largest airline in the world to be driven to bankruptcy by COVID-19. With a complex debt structure and international investor composition, the company decided to file for bankruptcy protection in the U.S.)

Key issues that we will discuss

Session 7

- Different forms of ownership and governance across countries; how ownership influences control transactions, e.g., mergers; regulatory protection of minority shareholders

Session 8

- Shareholder activism by hedge funds. Who are the activists? How does it work & what are the outcomes?
- Guest lecture

Session 9

- Shareholder activism by active and passive asset managers
- Private Equity: structure of PE transactions, incentives and performance

Session 10

- Guest lecture
- Conglomerates, virtues and vices

Current Events

NETFLIX

WARNER BROS. DISCOVERY

Getting the most out of the course

- Preparation
  - If necessary, please review your notes from previous finance classes/textbooks (e.g., on valuation)
  - Know the case
  - Be on time

- Active and thoughtful participation (e.g., during case discussions)
  - Relate your comments to the *ongoing discussion*. Ideally, address what the previous speaker said.
  - Typically, it's most effective to make *one* point, not several at once.
  - It is often useful to provide a remark in the form of an *opinion* and to provide your reasoning.
  - Feel free to ask *questions* but be mindful of others and class time (some questions may be better addressed by email or after class).
  - Speak to *add value*, not just to be heard.

- Be collegial

Course materials

- Materials can be found in the session folders.
- The **lecture slides and (your) notes on the cases** comprise the primary material for this course.
- We have also made available additional (optional) readings for various topics.

Case studies

- There will be **4 case discussions** (sessions 2, 4, 5, 6).
- **Choose two** out of the 4 cases **to hand in**.
- The case assignments should be done in groups. Groups should be formed by 4 or 5 students, and should not be larger than 6 students.
- Additional instructions, including the assignment questions, are provided on Canvas (see the individual assignment pages).

Assessment and grading

Two case write-ups (in groups): **40%** (20% per case)

Individual final exam: **60%**

- The final exam will be in class, on Friday 21 March 2025, 14:00 to 17:00.
- Can use a calculator, 1 A4 page “cheat sheet”.